

Understanding NPS

The National Pension System, end to end.

Retirement comes for everyone.

At some point, the income stops. The question is whether something else takes over.



Here is what is possible.

If you invest

₹10,000 every month for 30 years

AT AGE 60, YOU COULD HAVE

₹1.8 crore

tax-free, in your hand

PLUS, EVERY MONTH

₹65,000

pension, for life

And when you are gone, your family gets the remaining money.

Market-linked. Numbers shown assume historical NPS equity returns of ~12% annualised.

This isn't theory.

There is a system built specifically for this. It is run by the government, 75 lakh Indians already use it, and it manages over ₹3.5 lakh crore.

It is called the National Pension System. NPS.

SECTION 02

What is NPS

The system, the structure, and what makes it different.

NPS is a pension fund.

- 01 A pool of money, professionally managed, built specifically for retirement.
- 02 Works similarly to a mutual fund - same fund managers, daily NAV, unit-based ownership.
- 03 Regulated by PFRDA, the government body for pension products in India.

Note - throughout this session, we are talking about Tier 1, the main retirement account. There is a Tier 2 you can also open, but it is optional and has no tax benefits.

Same structure you already know from mutual funds. Different wrapper.

But it has three things mutual funds don't.

01

A lock-in

Money stays till age 60 (or 15 years, whichever earlier). Forces you to actually save for retirement.

02

A tax shelter

One of the most powerful tax-saving instruments left in India, especially under the new regime.

03

A guaranteed pension

At retirement, part of your money buys you a fixed monthly income for life.

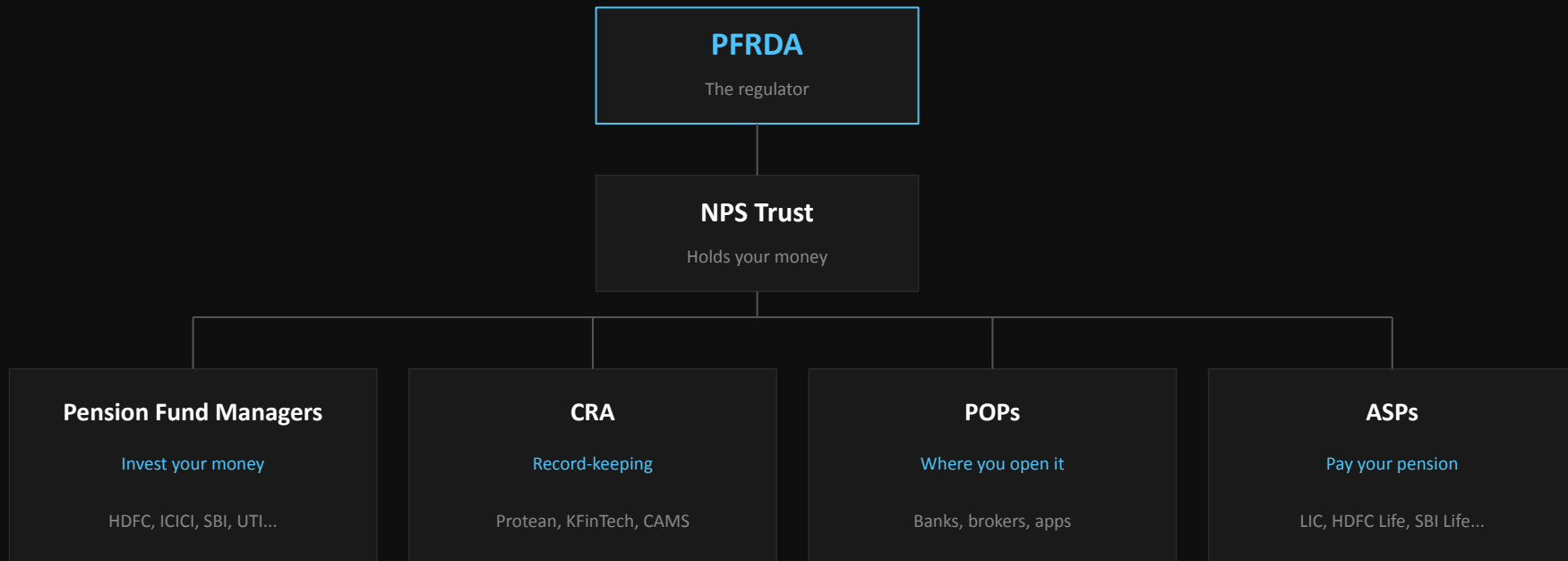
SECTION 03

How NPS works

The ecosystem behind your retirement account.

The NPS ecosystem

Many players, one goal - protecting your retirement money.



You only interact with one of them, the POP. The rest works in the background.

SECTION 04

Where your money goes

Asset classes, choices, and how the system invests for you.

Four asset classes

Your NPS money gets invested across some combination of these.



Equity

Listed stocks. High risk, high return.



Corporate bonds

Corporate debt. Moderate risk, moderate return.



Government securities

Sovereign bonds. Low risk, stable return.



Alternative funds

REITs, InvITs. Capped at 5%.

You can mix these any way you want. Or let the system do it for you.

Two ways to invest

Pick one. You can change later.

OPTION 1

Active Choice

You decide the mix.

You set the percentage in each asset class yourself. You can go up to 100% in equity. Best if you understand investing.

Example - 80% equity, 20% government bonds

OPTION 2

Auto Choice

The system decides by age.

Pick a risk level. The system automatically chooses your mix - higher equity when young, lower as you age.

LC-75 - Aggressive (75% equity, tapers down)

LC-50 - Moderate (50% equity, tapers down) [default]

LC-25 - Conservative (25% equity, tapers down)

BLC - Balanced (50% equity, slower taper)

You can change your mind.

4x

per year

Change your asset allocation

1x

per year

Change your fund manager

₹0

in tax

On any of these switches

Inside NPS, rebalancing is tax-free. In mutual funds, every switch is taxed.

SECTION 05

Returns and costs

How much it makes you, and how much it costs.

Returns

NPS Equity Scheme has delivered

~14%

annualised over the last 10 years.

Comparable to large-cap equity mutual funds.

Costs

NPS charges as little as

0.09%

as fund management fees per year.

Mutual funds typically charge 0.5% to 1.5%.

Same returns. Way cheaper. That difference compounds for 30 years.

SECTION 06

The tax shelter

Where NPS becomes genuinely powerful.

Under the new tax regime,
you don't get most tax deductions.

NOT AVAILABLE

80C

HRA

LTA

Home loan interest

ELSS

PPF deduction

Except one.

80CCD(2)

Your employer can put up to

14% of your basic salary

directly into your NPS account.

That entire amount is tax-free.

You pay zero tax on it. It just lands in your retirement account.

Why this is huge.

WITHOUT NPS

Salary ₹10,000

Tax (30%)

- ₹3,120

Amount you can invest

₹6,880

WITH NPS (EMPLOYER ROUTE)

Salary ₹10,000 → to NPS

Tax

₹0

Amount that gets invested

₹10,000

45% more money working for you, on the same salary cost to your employer.

And it gets better.

NPS is one of the few investments in India where you save tax at every stage.

E

At investment

Money going in is tax-free (via employer route)

E

During growth

Your money grows tax-free for 30+ years

E

At withdrawal

60% lump sum at age 60 is fully tax-free

Tax-free in. Tax-free growth. Tax-free out. That's why people call it Triple-E.

SECTION 07

NPS vs Mutual Funds

Side by side, on the same money out of your pocket.

Imagine two people earn the same.

Both want to use ₹10,000 of their pre-tax monthly salary for retirement.

Same horizon - 30 years. Same return - 12% annualised.

PERSON A

Invests in mutual funds

Pays 30% tax on salary first.

₹6,880 reaches the investment.

PERSON B

Invests via employer NPS

Salary routed directly into NPS.

Full ₹10,000 reaches the investment.

Same cost to the employer. But more money working in Person B's case.

After 30 years, at age 60

PERSON A - MUTUAL FUNDS

Total corpus at 60

₹2.1 crore

Cash in hand

₹1.87 crore

Post LTCG tax

Monthly income

₹91,000

Drawdown from ₹1.87 cr corpus

Corpus depletes over time

PERSON B - NPS (EMPLOYER ROUTE)

Total corpus at 60

₹3.05 crore

45% bigger - no tax during accumulation

Cash in hand

₹1.83 crore

60% lump sum, tax-free + ₹1.22 cr in annuity pool

Monthly income

₹1.42 lakh

₹53K pension for life + ₹89K drawdown

₹53K never runs out

Same money out of pocket. ~56% higher monthly income. And part of it keeps coming for life.

Projections. Assumes 12% annualised returns in line with NPS equity historical performance.

It's not NPS vs Mutual Funds.

It's NPS for retirement.

Mutual funds for everything else.

Home, kids, emergency fund, mid-life goals. The flexibility of mutual funds matters.

For locked, tax-efficient retirement money, NPS wins clearly.

SECTION 08

How money comes back

Withdrawal rules - the part everyone worries about.

At age 60

Your money comes back in two parts.

60%

Lump sum

In your bank account. Completely tax-free. Yours to do anything with.

40%

Monthly pension

Guaranteed income for life. Goes to your family when you're gone.

You get a tax-free lump sum AND a monthly pension. Both at the same time.

You can take up to 80% as lump sum if you want, but only 60% is tax-free.

Three more things you should know.

01 Partial withdrawals

You can withdraw up to 25% of your own contributions, four times during the term. For education, marriage, medical, or buying your first home.

02 If you die before 60

100% of your corpus goes to your nominee. Tax-free. No annuity compulsion. Your family gets everything.

03 Early exit

You can exit after 15 years or at 60, whichever is earlier. Some flexibility if you really need it.

SECTION 09

Should you invest?

Who NPS is built for. And who it isn't.

NPS IS GREAT FOR YOU IF...

- ✓ You are salaried and your employer offers corporate NPS
- ✓ You are in the new tax regime and want any meaningful tax shelter
- ✓ You are in a high tax bracket (20% or 30%)
- ✓ You want a forced way to save for retirement
- ✓ You want guaranteed income for life when you stop working

NPS IS LESS USEFUL IF...

- Your employer does not offer NPS and you are not self-employed
- Your near-term goals (home, kids) matter more than retirement right now
- You need flexibility to access money before 60
- You already have strong mutual fund discipline for retirement
- You earn below the tax slab where the shelter actually helps

Be honest with yourself about which side you are on.

SECTION 10

How to start

The simplest path to opening your NPS account.

If you are salaried with corporate NPS,

just talk to your HR. They handle everything.

If your employer does not offer it,

open it yourself online in 20 minutes.

- 1 Go to enps.nsdl.com
- 2 Enter Aadhaar + PAN, verify with OTP
- 3 Pick your fund manager (HDFC, SBI, ICICI - any of the big names work)
- 4 Pick Active (you choose mix) or Auto (system chooses by age)
- 5 Make your first contribution. You get your PRAN number instantly

The numbers to know

₹500

Minimum to open the account

₹1,000

Minimum contribution per year

No limit

Maximum you can contribute

0.09%

Annual fund management charge

What to take away.

01 **NPS is a pension fund.**

Same structure as mutual funds. Different wrapper, built for retirement.

02 **The tax shelter is real.**

Especially via employer contribution under the new regime. Up to 14% of basic, tax-free.

03 **Use both. NPS for retirement, mutual funds for everything else.**

They are not competing. They are complementary. The smartest move is to use them together.

Questions.

Let's talk.

